

public school system. Mother paid two-thirds of the tuition; Bill and Helen, the rest. In this case, a gift of \$12,000 ended up costing Bill and Helen \$6,000 a year.

Moreover, Bill and Helen did not contemplate the additional expenses of sending their children to private school. For example, they are often asked to make contributions to the school beyond the cost of tuition. They also felt they needed to buy a seven-passenger station wagon so they could participate in the school's car pool. Books and related fees are also costly. And their children are now exposed to other children and parents who tend to have higher-consumption lifestyles than were the case in the public school environment. In fact, their children are looking forward to traveling to Europe this summer. It's part of their education and socialization process. Gift receivers are significantly more likely than non-gift receivers to send their children to private schools. (Although there are more children of non-gift receivers in private school overall, it is because the population of non-gift receivers is much larger than its counterpart.)

2. GIFT RECEIVERS IN GENERAL NEVER FULLY DISTINGUISH BETWEEN THEIR WEALTH AND THE WEALTH OF THEIR GIFT-GIVING PARENTS.

Perhaps Tony Montage, a professional asset manager, said it best:

Gift receivers ... the adult children of the affluent feel that their parents' wealth/capital is their income ... income to be spent.

One of the main reasons gift receivers typically think of themselves as being financially well-off is because they receive parental subsidies. And people who think they are financially well-off tend to spend. In fact, statistically they are just as likely to view themselves as being affluent as are truly affluent non-gift receivers. This is the case in spite of earning 91 percent of the income and having 81 percent of the wealth of nonreceivers.